CIO House View

Report ran on Friday, October 09, 2026

REGIME

Cycle phase	Late Cycle	**Volatility**	Low
Trend	Range bound	**Fed**	Neutral
Risk appetite	Neutral	**Confidence**	Low

Pillars Rates **Stress** Inflation **Stress** Activity **Stress** Credit **Healthy**

HOUSE VIEW

Long-term borrowing costs drive this market. The 10-year Treasury yield is 5.28% and the 30-year 5.67%, the highest since 2002, while the 2-year has eased to 4.77%. When a safe government bond pays over 5%, money that would have bought shares buys the bond instead, and share prices must fall far enough to compete. Housing feels it first: the 30-year mortgage rate is 7.49% and home builders carry the most negative news read of any industry. Real estate and utilities, heavy borrowers that pay bond-like income, have the weakest breadth. Breadth measures the share of companies in a group trading above their 200-day moving average, a technical level often used to gauge momentum; real estate and utilities both sit near 18%. The news leans slightly positive on utilities, but price does not back it. Avoid housing, real estate and utilities until long yields turn down.

The Fed raised rates in September for the first time in three years and is on hold, so the path is neutral. Inflation gives it little room: consumer prices are up 3.4% on the year and producer prices up 5.4%. Core PCE, the Fed's preferred inflation gauge excluding food and energy, is steady at 3.0%, above the 2% goal. Hiring is the counterweight: employers added only 29,000 jobs and unemployment rose to 4.2%, which is why short-term yields fall while long ones climb. That mix is late cycle, the stage where growth slows but has not yet turned down.

Oil carries the strongest positive news read, scoring plus 2.69 on the platform's graded news scale, where positive leans bullish and larger numbers mean more agreement, on Iranian tanker sanctions, shipping attacks near the Strait of Hormuz and tight diesel supply. That cost lands on fuel-heavy businesses: Delta Air Lines (DAL) cut its 2026 profit guidance after jet fuel nearly doubled from a year ago. Favor oil producers and integrated majors over airlines and trucking, which both read negative. Price only half agrees: energy breadth is 70%, but the group is flat, not climbing, so the inflation-hedge case is supported but not proven.

Technology is the only rising group, with breadth of 67% and positive momentum, and it carries the index while most groups fall. The news reads the sector negatively, scoring minus 1.17, on doubts over artificial intelligence spending and a pulled $5 billion data-center share listing, but price contradicts that read, so conviction is low either way. Inside technology, the news favors infrastructure software, scoring plus 1.51, over chips, scoring plus 0.68, where record results now draw flat reactions because expectations are so high. Favor software over chasing chipmakers. A rally carried by one group is fragile: an artificial intelligence stumble leaves nothing underneath to cushion the index.

Among defensives, businesses people use in any weather, healthcare holds best, flat with 60% breadth. Staples are falling and read negative on fuel and input costs, so favor healthcare over staples. Cyclicals, businesses whose profits follow the economy, are weak: consumer cyclicals sit at 31% breadth, and financials and industrials are falling despite still-expanding factory surveys.

The S&P 500 trades at 26 times trailing earnings. Trailing P/E means price divided by the last year's profit. The

equity risk premium, the expected return investors demand for stocks above the risk-free rate, is minus 1.43%. A negative equity risk premium means stocks offer no reward over a safe bond. Financial Services trades at a relative P/E of 0.66, meaning its price-to-earnings ratio divided by the S&P 500's, where 1.0 is in line with the market and below 1.0 is cheaper. Financial Services is cheap, but prices are falling, so wait for them to turn before favoring it. Healthcare at 0.94 is roughly in line with the market, which with its steadier price makes it the sensible defensive choice. Semiconductors at 1.32 are rich, which argues for owning them selectively, not adding on strength.

Index volatility is low but protection is expensive. The S&P 500 has moved at a 9.8% annual pace this past month, measured as realized volatility, which is the actual price swings observed. The VIX, the price of insurance against a one-month S&P 500 fall, sits near 15, so buyers pay well above what the market has actually done. Insurance three months out costs more than insurance now. This structure, called contango, means the market is pricing in calm: far-dated options cost more because traders expect volatility to stay low or prices to drift gradually upward. No imminent shock is priced. The Nasdaq's volatility gauge runs about 6 points above the VIX, putting the risk in technology and single stocks, not the whole index.

Scenarios

Base (50%): The Fed holds, inflation lands near forecast and long yields stay high; favors energy producers, software and healthcare, pressures housing, real estate, utilities and transports.

Bull (20%): Cooler inflation plus further hiring weakness lets long yields fall and the Fed signal it is done; favors rate-sensitive groups and broader participation, pressures oil.

Bear (30%): Hot inflation or an oil spike pushes long yields higher while an artificial intelligence earnings letdown hits the narrow leaders; pressures technology and the index, favors energy and short-term Treasuries. A cooling job market makes a long run of hikes unlikely, so the hawkish risk is yields staying high, not many more hikes.

Monitor (watch only)

High-yield credit spreads, the extra interest riskier companies pay over the government to borrow, are low at 3.09% but drifting wider; sustained widening would signal lenders pulling back and hit indebted companies first.

Continuing jobless claims rose to 1.716 million, meaning laid-off workers take longer to find work; another weak payroll report would turn cooling into a slowdown.

Borrowing to buy shares is at a record, a positioning risk. Positioning is how much investors already own and on what terms; a fall in stock prices could force leveraged holders to sell and deepen it.

A possible US diesel export ban or more Hormuz attacks would push fuel prices up, adding to inflation and squeezing transports and consumers.

WEEK AHEAD

Wednesday will bring the September consumer price report with a forecast for 3.6% headline inflation, up from 3.4%, with core inflation forecast at 2.5%, up from 2.4%. A hotter print would push long yields higher and deepen the squeeze on housing and real estate, while a softer one would give rate-sensitive groups relief. Thursday will bring the forecast for producer prices with a consensus expectation of plus 0.5% for the month and retail sales, where consensus expects a slowdown to plus 0.2% from plus 1.4%, a test of whether fuel costs are squeezing shoppers. Fed Governors Waller on Tuesday and Bowman on Wednesday and Wednesday's Beige Book will show how the Fed reads the weaker job market against firm inflation. Tuesday's OPEC report and weekly inventory data bear on oil.

All times Eastern (ET). Forward calendar, expected values only.

Time (ET)	Event	Prior	Forecast
MONDAY, OCT 12			

2:00p	Budget Balance (Sep)	-167B	210B
TUESDAY, OCT 13			
3:45a	Fed Waller Speech	-	-
6:00a	OPEC Monthly Report	-	-
10:00a	Existing Home Sales (Sep)	3.98M	3.97M
10:00a	Existing Home Sales MoM (Sep)	-2%	-0.3%
2:00p	Budget Balance (Sep)	-167B	210B
WEDNESDAY, OCT 14			
5:40a	Fed Bowman Speech	-	-
7:00a	MBA 30-Year Mortgage Rate (Oct/09)	7.49%	-
8:30a	CPI MoM (Sep)	0.4%	0.6%
8:30a	CPI YoY (Sep)	3.4%	3.6%
8:30a	Core CPI MoM (Sep)	0.3%	0.2%
8:30a	Core CPI YoY (Sep)	2.4%	2.5%
8:30a	Inflation Rate (Sep)	334.98	336.5
2:00p	Beige Book	-	-
4:30p	API Crude Oil Stock Change (Oct/09)	-2.09	-
THURSDAY, OCT 15			
8:30a	Continuing Jobless Claims (Oct/03)	1716K	1718K
8:30a	Core PPI MoM (Sep)	0.2%	0.3%
8:30a	Initial Jobless Claims (Oct/10)	197K	197K
8:30a	Jobless Claims 4-Week Average (Oct/10)	198K	199K
8:30a	NY Empire State Manufacturing Index (Oct)	7.6	7
8:30a	PPI MoM (Sep)	0.4%	0.5%
8:30a	Philadelphia Fed Manufacturing Index (Oct)	37.8	31
8:30a	Retail Sales MoM (Sep)	1.4%	0.2%
9:30a	Retail Sales Ex Autos MoM (Sep)	1.4%	-0.1%
9:30a	Retail Sales Ex Gas/Autos MoM (Sep)	1.2%	0.2%
9:30a	Retail Sales YoY (Sep)	6%	5.2%
10:00a	Business Inventories MoM (Aug)	0.8%	0.3%
12:00p	EIA Crude Oil Stocks Change (Oct/09)	-3.186	-
12:00p	EIA Gasoline Stocks Change (Oct/09)	0.382	-
FRIDAY, OCT 16			
8:30a	Export Prices MoM (Sep)	0.6%	0.7%
8:30a	Import Prices MoM (Sep)	0.7%	0.8%
9:15a	Industrial Production MoM (Sep)	0%	0.3%
4:00p	Net Long-Term TIC Flows (Aug)	-27.9B	-